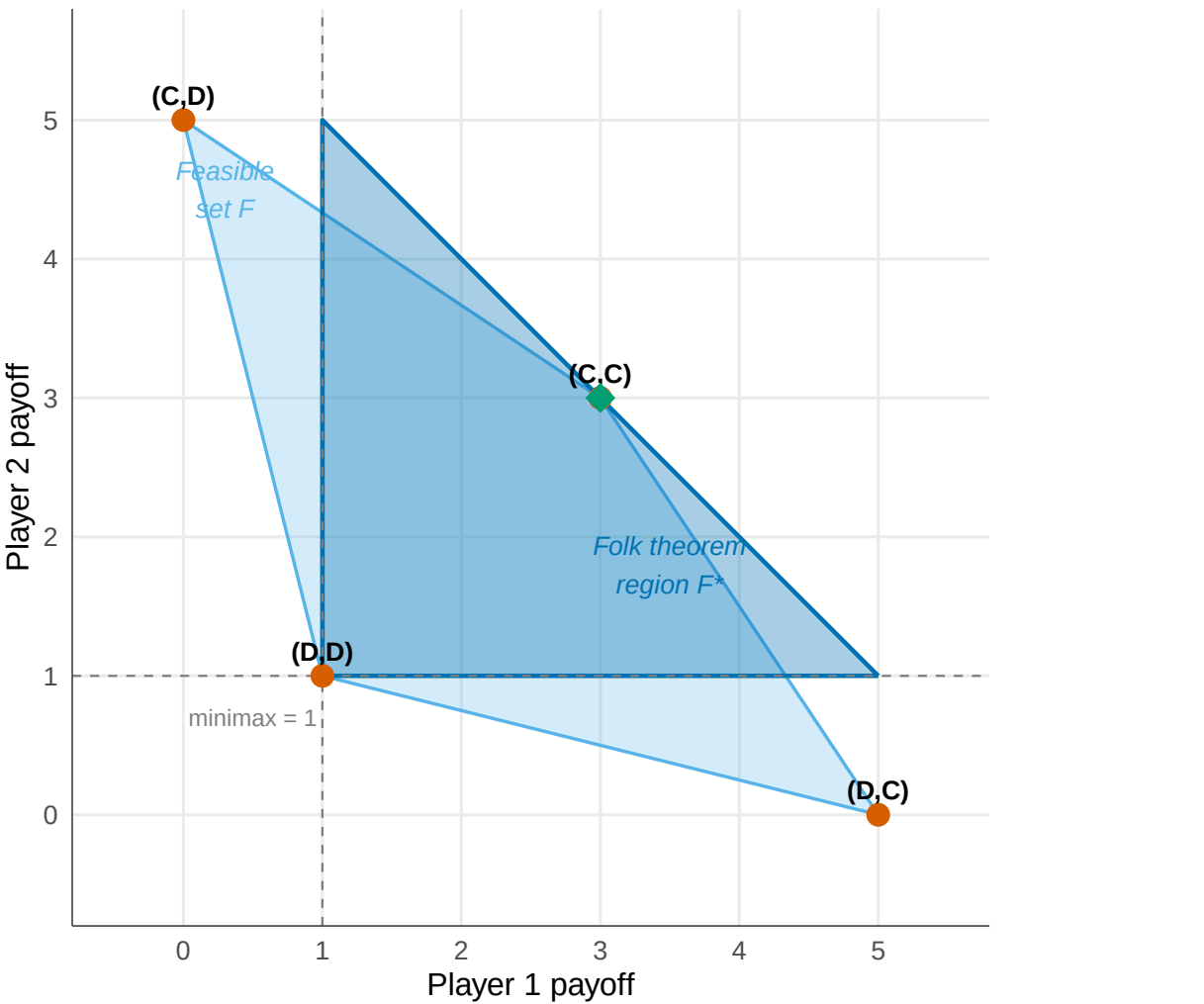
Folk theorem region for the repeated Prisoner's Dilemma
Grim trigger sustains cooperation for . >= 0.5; entire shaded region achievable as . −> 1
(C,D)
Feasible
set F
(C,C)
Folk theorem
region F*
(D,D)
minimax = 1
(D,C)
Player 2 payoff
Player 1 payoff
0
1
2
3
4
5